

25 Aug 2026 12:04:11 ET | 12 pages

Chailease Holding (5871.TW)

2Q26 Improving Credit Cost but Loan Growth Remained Muted

CITI'S TAKE

Chailease reported 2Q26 attributable profit of NT\$5.3bn, -6% qoq/+5% yoy. Gross profit of NT\$16.1bn was +1% qoq/-1% yoy, on the back of muted loan growth (+1% qoq/+4% yoy) and narrower loan spread (-20bps qoq/-23bps yoy). Opex was flat qoq/-5% yoy to NT\$4.6bn, driven by lower staff expenses (-5% qoq/-7% yoy). Credit cost improved 10bps qoq to 2.38%, thanks to lower China impairments qoq. Group delinquency ratio was flat qoq at 5.1%, as higher Taiwan delinquency ratio was offset by lower China delinquency ratio. Mgmt. suggests that FY26 dividends could be higher yoy if Chailease could achieve earnings growth this year.

Narrower Loan Spread — Group loan spread narrowed 20bps qoq to 6.87%, as both Taiwan and China loan spread narrowed. Taiwan loan spread declined 17bps qoq to 5.43%, as asset yield dropped 9bps qoq driven by unfavorable mix shift and funding cost increased 8bps qoq. China loan spread declined 21bps qoq on the back of asset yield contraction of 36bps qoq.

Modest Loan Growth — Group loans grew 1% qoq/4% yoy, mainly driven by ASEAN loan growth. Taiwan loans were +1% qoq/flat yoy, and China loans were +1% qoq/-3% yoy ccy (+3% qoq/+12% yoy in NTD). ASEAN loans were +1% qoq/+12% yoy. Taiwan/ASEAN loan growth target is maintained at single-digit percent/10% growth for FY26. China loans achieved mom growth in June/July and China July loan balance is only slightly lower than end-2025 balance.

Better Credit Costs — Group impairment charges of NT\$4.3bn were -4% qoq/-11% yoy, thanks to lower China impairments. Group delinquency ratio was flat qoq at 5.1%. Taiwan delinquency ratio was slightly higher, +0.1ppt qoq to 4.2%. China delinquency ratio improved 0.1ppt qoq to 6.9%. China new NPL formation also slightly improved 19bps qoq to 7.7% per our estimates. Management expects China credit cost in 2H to be lower than 1H26 credit cost of 3.8%.

Implications —We raise our FY26E/FY27E EPS estimates by 3%/1%, mainly driven by better credit costs, while keeping FY28E EPS estimate unchanged. We also factor in the dilution impact from stock dividends in July. Our target price is slightly raised to NT\$130.0 (from NT\$127.45). As asset quality appears to have stabilized, investors' concern has shifted to growth, and we believe Chailease needs to deliver on growth for the stock to re-rate. Valuation remains attractive at 5% FY26E dividend yield.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	22,016	12.61	-10.2	9.1	1.3	14.8	5.1
2025A	19,240	11.02	-12.6	10.4	1.2	11.8	4.9
2026E	20,599	11.80	7.1	9.7	1.1	12.0	5.1
2027E	22,088	12.65	7.2	9.1	1.1	12.3	5.5
2028E	23,387	13.40	5.9	8.6	1.0	12.3	5.8

Source: Powered by dataCentral

Buy

Price (25 Aug 26 13:30)	NT\$115.00
Target price	NT\$130.00↑
	from NT\$127.45
Expected share price return	13.0%
Expected dividend yield	5.1%
Expected total return	18.2%
Market Cap	NT\$200,750M
	US\$6,304M

Price Performance

(RIC: 5871.TW, BB: 5871 TT)


Michael Zhang^{AC}

+852-2501-7607

michael.zhang@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

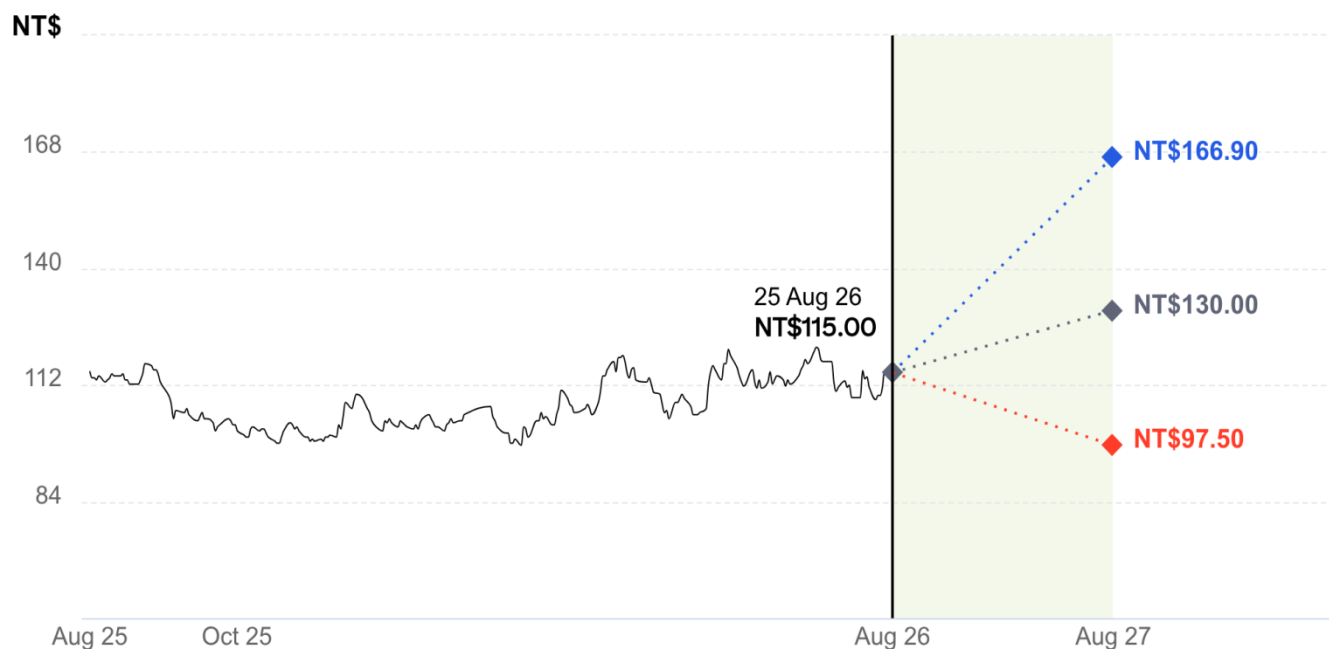
5871.TW: Fiscal year end 31-Dec	2024	2025	2026E	2027E	2028E
Valuation Ratios					
P/E adjusted (x)	9.1	10.4	9.7	9.1	8.6
P/E reported (x)	9.1	10.4	9.7	9.1	8.6
P/BV (x)	1.3	1.2	1.1	1.1	1.0
P/Adjusted BV diluted (x)	1.3	1.2	1.1	1.1	1.0
Dividend yield (%)	5.1	4.9	5.1	5.5	5.8
Per Share Data (NT\$)					
EPS adjusted	12.61	11.02	11.80	12.65	13.40
EPS reported	12.61	11.02	11.80	12.65	13.40
BVPS	90.57	95.92	100.58	105.80	111.42
Tangible BVPS	90.57	95.92	100.58	105.80	111.42
Adjusted BVPS diluted	90.57	95.92	100.58	105.80	111.42
DPS	5.86	5.69	5.90	6.33	6.70
Profit & Loss (NT\$m)					
Net interest income	60,855	57,236	56,159	59,232	62,449
Fees and commissions	4,830	4,354	4,320	4,568	4,832
Other operating Income	2,358	2,741	3,936	4,128	4,334
Total operating income	68,043	64,331	64,415	67,928	71,614
Total operating expenses	-19,133	-19,106	-18,807	-19,882	-21,025
Oper. profit bef. provisions	48,910	45,224	45,608	48,046	50,589
Bad debt provisions	-19,877	-19,210	-17,654	-17,922	-18,656
Non-operating/exceptionals	3,218	3,401	3,366	3,387	3,457
Pre-tax profit	32,251	29,415	31,320	33,511	35,390
Tax	-8,815	-8,612	-8,981	-9,628	-10,149
Extraord./Min. Int./Pref. Div.	-1,420	-1,564	-1,740	-1,796	-1,854
Attributable profit	22,016	19,240	20,599	22,088	23,387
Adjusted earnings	22,016	19,240	20,599	22,088	23,387
Growth Rates (%)					
EPS adjusted	-10.2	-12.6	7.1	7.2	5.9
Oper. profit bef. prov.	4.1	-7.5	0.8	5.3	5.3
Balance Sheet (NT\$m)					
Total assets	982,404	976,117	1,016,054	1,071,673	1,130,708
Avg interest earning assets	742,555	740,242	747,039	785,281	829,366
Customer loans	750,328	730,157	763,921	806,640	852,092
Gross NPLs	29,555	35,321	37,219	37,266	38,008
Liab. & shar. funds	982,404	976,117	1,016,054	1,071,673	1,130,708
Total customer deposits	0	0	0	0	0
Reserve for loan losses	20,677	22,760	23,727	24,413	25,744
Shareholders' equity	173,094	182,441	190,583	199,689	209,497
Profitability/Solvency Ratios (%)					
ROE adjusted	14.8	11.8	12.0	12.3	12.3
Net interest margin	8.20	7.73	7.52	7.54	7.53
Cost/income ratio	28.1	29.7	29.2	29.3	29.4
Cash cost/average assets	2.0	2.0	1.9	1.9	1.9
NPLs/customer loans	3.9	4.8	4.9	4.6	4.5
Reserve for loan losses/NPLs	70.0	64.4	63.7	65.5	67.7
Bad debt prov./avg. cust. loans	2.7	2.6	2.4	2.3	2.2
Loans/deposit ratio	na	na	na	na	na
Tier 1 capital ratio	na	na	na	na	na
Total capital ratio	na	na	na	na	na

Bull/Bear: Chailease Holding (5871.TW)

NT\$ **166.90**
▲ 45% Upside

NT\$ **130.00**
▲ 13% Upside

NT\$ **97.50**
▼ 15% Downside



Spread 60pp
Current Price and expected returns (upside/downside) as of 25 Aug 2026

BULL Assumptions

- Profit increase by 10% via ROE enhancement due to stronger loan growth, widened spread and better asset quality
- Book value re-rating by 0.2x via steady asset quality improvement and ASEAN business expansion

BASE Assumptions

- Earnings growth at c.7% CAGR for 2026-28E
- Credit cost at 2.2%-2.4% for 2026E-28E

BEAR Assumptions

- Profit decline by 15% via ROE deterioration due to slower loan growth, narrowed spread, worse asset quality and capital raising dilution.
- Book value de-rating by 0.2x via unexpected asset quality deterioration and weak momentum in ASEAN

Chailease Holding

Company description

Chailease is Taiwan's largest leasing company, engaged in equipment leasing, installment sales, factoring, and direct financing. It has operations in Taiwan, China and the ASEAN region. The U.S. Koo family owns 30%, Lo family 5% and Mitsubishi UFJ 4%. Employees also own 5% collectively.

Investment strategy

We have a Buy rating on Chailease. We like Chailease's growth momentum and ROE profile, which allows strong book value compounding. While asset quality has been a key concern for investors, Chinese government's pledge for more policy support should help ease asset quality concerns. Chailease is trading at 9x 12m Forward PE and offers an attractive dividend yield of 5%.

Valuation

Our target price for Chailease of NT\$130 is based on 1.2x 2026E P/B, using a Gordon Growth model. Our valuation methodology takes into account a sustainable ROE estimate of 12.1%, a cost-of-equity assumption of 11.1%, and a long-term growth rate of 6.0%. We use a blended approach to calculate both risk-free rates and long-term growth rates taking into account local estimates on these parameters in the major markets in which Chailease operates, namely Taiwan, China, and Thailand, and weighted them by asset mix.

Risks

Key downside risks that could impede the Chailease stock from reaching our target price are: [1] slower-than-expected asset growth momentum; [2] asset quality deterioration in different markets; [3] higher operating expenses, which drag bottom-line growth; [4] earlier-than-expected capital-raising that dilutes ROE and BVPS; and [5] ASEAN expansion that is slow in contributing to group earnings. Key upsides risks to our target price include: [1] faster-than-expected asset quality recovery as macro uncertainties ease; [2] higher-than-expected asset growth momentum.

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Appendix A-1

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Chalease Holding (5871.TW)
Ratings and Target Price History
Fundamental Research

Analyst: Michael Zhang



	Date	Rating	Target Price	Closing Price
1	28-Aug-23 09:44:04	1	*202.13	170.63
2	13-Nov-23 04:01:43	1	*197.43	162.17
3	29-Jan-24 14:35:07	1	*192.73	168.28
4	05-Mar-24 05:25:06	1	*183.33	163.11

*Indicates Change

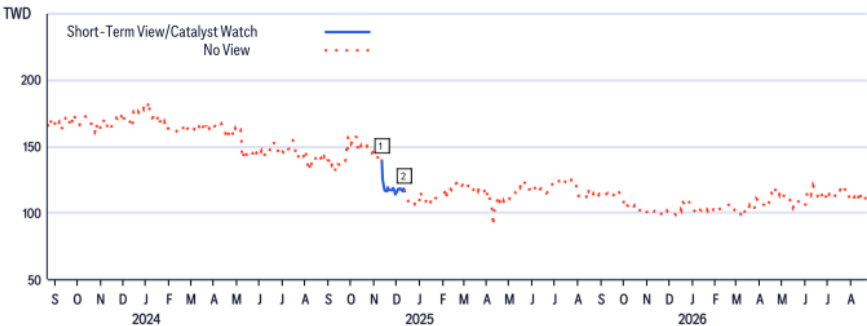
	Date	Rating	Target Price	Closing Price
5	13-May-24 19:55:01	*2	*159.82	147.60
6	03-Sep-24 11:32:54	2	*153.43	140.96
7	26-Sep-24 13:23:12	*1	*168.20	146.10
8	03-Mar-25 06:02:44	1	*139.37	123.99

	Date	Rating	Target Price	Closing Price
9	26-Aug-25 11:11:13	1	*132.35	113.73
10	20-Nov-25 03:57:34	1	*112.75	99.51
11	26-Mar-26 22:32:02	1	*117.65	106.86
12	01-Jul-26 11:43:14	1	*127.45	112.25

Rating/target price changes above reflect Eastern Time

Chalease Holding (5871.TW)
Short-Term View/Catalyst Watch Research

Analyst: Michael Zhang



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Nov-24 02:31:48	Add STV	Downside	30 Days	139.37

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	11-Dec-24 19:58:27	Remove STV	Downside	30 Days	117.26

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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